

MINISTRY OF DEFENCE

DEMAND NO. 22

Defence Pensions*(In ₹ crores)*

	Actual 2024-2025			Budget 2025-2026			Revised 2025-2026			Budget 2026-2027		
	Revenue	Capital	Total	Revenue	Capital	Total	Revenue	Capital	Total	Revenue	Capital	Total
Gross	157653.65	...	157653.65	168795.00	...	168795.00	169186.50	...	169186.50	179338.22	...	179338.22
Recoveries	...	...	...	-8000.00	...	-8000.00	...	...	...	-8000.00	...	-8000.00
Receipts	...	...	...	...	...	...	...	...	...	...	...	...
Net	157653.65	...	157653.65	160795.00	...	160795.00	169186.50	...	169186.50	171338.22	...	171338.22
A. The Budget allocations, net of recoveries, are given below:												
CENTRE'S EXPENDITURE												
Establishment Expenditure of the Centre												
1. Pensions and other Retirement Benefits												
1.01 Army	133712.87	...	133712.87	141751.00	...	141751.00	142556.69	...	142556.69	151631.06	...	151631.06
1.02 Navy	8551.02	...	8551.02	9463.80	...	9463.80	8937.43	...	8937.43	10023.60	...	10023.60
1.03 Air Force	15358.56	...	15358.56	17553.50	...	17553.50	17656.27	...	17656.27	17646.13	...	17646.13
Total- Pensions and other Retirement Benefits	157622.45	...	157622.45	168768.30	...	168768.30	169150.39	...	169150.39	179300.79	...	179300.79
2. Deduct Recovery from Public Account	...	...	...	-8000.00	...	-8000.00	...	...	...	-8000.00	...	-8000.00
3. Service Charges to Banks	3.45	...	3.45	4.50	...	4.50	4.50	...	4.50	4.00	...	4.00
4. Rewards-Army, Navy and Air Force	27.75	...	27.75	22.20	...	22.20	31.61	...	31.61	33.43	...	33.43
Total-Establishment Expenditure of the Centre	157653.65	...	157653.65	160795.00	...	160795.00	169186.50	...	169186.50	171338.22	...	171338.22
Grand Total	157653.65	...	157653.65	160795.00	...	160795.00	169186.50	...	169186.50	171338.22	...	171338.22
B. Developmental Heads												
General Services												
1. Pensions and other Retirement Benefits	157653.65	...	157653.65	160795.00	...	160795.00	169186.50	...	169186.50	171338.22	...	171338.22
Total-General Services	157653.65	...	157653.65	160795.00	...	160795.00	169186.50	...	169186.50	171338.22	...	171338.22
Grand Total	157653.65	...	157653.65	160795.00	...	160795.00	169186.50	...	169186.50	171338.22	...	171338.22

1. **Pensions and other Retirement Benefits:** The provision is for pensionary charges in respect of retired Defence Personnel (including Defence Civilian employees) of the three services viz. Army, Navy and Air Force and Ordnance Factories etc. It covers payment of service pension (including regular payment of 'One Rank One Pension'), gratuity, family pension, disability pension commuted value of pension, leave encashment etc.

3. **Service Charges to Banks:** The provision is for payment of service charges to banks on account of SPARSH services.

The variation in RE 2025-26 with reference to approved BE 2025-26 (Gross) is around ₹ 391.50 crore (0.23%) over BE 2025-26 (Gross). The variation is due to normal growth in Pensions. Previous year liability of ₹ 3042.32 crore has also been taken into account while assessing RE 2025-26.

The variation in BE 2026-27 with reference to BE 2025-26 (Gross) is ₹ 10543.22 crore (6.24% over BE 2025-26 (Gross)). The variation is due to increase in dearness relief and normal growth in pension and other Retirement Benefits.